

Netflix

the price fell faster than the franchise weakened

A global entertainment leader with a widening monetization engine, durable cash generation and a valuation that now offers a credible margin of safety.

As of 18 September 2026

USD • split-adjusted

12-month view

The core question is no longer whether Netflix can become profitable. It is whether engagement and advertising can compound fast enough to justify a premium multiple.

RATING

BUY

Medium risk

FAIR VALUE

\$90

25% above market

MARKET PRICE

\$71.79

18 Sep 2026 close

Quality has de-rated faster than fundamentals

\$51.0–51.4B

2026 revenue guidance

31.5%

2026 operating margin guide

~\$12.5B

2026 FCF guide

~\$3B

2026 ad revenue target

Recommendation: BUY; fair value \$90; 12-month target \$90.

At \$71.79, the shares offer approximately 25% upside to our blended value. The stock is not statistically cheap: normalized earnings still command a high-20s multiple. It is attractive because the business is compounding revenue at a low-teens rate, expanding margins and converting profits into cash while the share price has fallen 42% over the last year.

Why the opportunity exists

- **De-rating:** the split-adjusted price is down 41.5% year over year and 23.4% in 2026 through September 18.
- **Engagement anxiety:** view hours grew only 2% in H1 2026; slower breakout-hit momentum could raise churn and marketing needs.
- **Cost concern:** live rights and a broader content slate may weaken returns if acquisition gains do not persist.
- **Disclosure risk:** view-hour reporting moves to annual cadence in 2027, reducing interim visibility.

Why we are constructive

- **Pricing power remains intact:** first-half price changes performed in line with management's expectations.
- **Ads are scaling:** management targets about \$3B of 2026 ad revenue, roughly double 2025.
- **Margins are structural:** the operating margin rose from 20.6% in 2023 to 29.5% in 2025; 31.5% is guided for 2026.
- **Capital return is large:** \$27.1B of repurchase authority remained after Q2, though price discipline matters.

The stock has de-rated sharply from its 2025 peak



Price source: FintHub market data. Fair value is the weighted result of four methods described on pages 8–9. Past performance is not predictive.

Netflix is becoming a global entertainment utility

Netflix sells monthly access to series, films, live programming and games across more than 190 countries. Subscription fees remain the economic core; advertising adds a second monetization layer, while live events, creator programming, podcasts and cloud games expand the occasions in which members use the service.^{[1][2]}

1. Subscription engine

More than 325 million paid memberships at year-end 2025 create recurring revenue, global distribution and a large audience over which content costs can be spread. Price tiers segment willingness to pay, and extra-member fees monetize sharing.

2. Advertising engine

The low-price tier widens the addressable market and can generate both subscription and ad revenue. Netflix Ads Suite, programmatic access and AI-assisted campaign tools should improve inventory fill and buyer access.

3. Content engine

Global originals and licensing feed a single worldwide service. Non-English programming supplied more than one-third of H1 2026 viewing, showing that local productions can travel and amortize across markets.^[2]

4. Engagement extensions

Live events drive disproportionate sign-ups, podcasts target daytime/mobile usage, and cloud games add interactive engagement. These products are strategically useful, but only live programming is presently material to acquisition.

The economic flywheel

More members → larger content budget and richer viewing data → better global slate and discovery → stronger retention and pricing power → more revenue per household → reinvestment. Advertising strengthens the loop by monetizing price-sensitive viewers without forcing a full ad-free price.

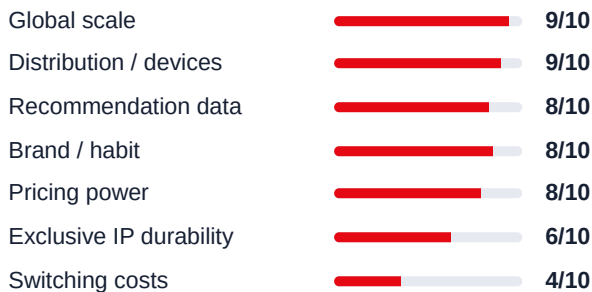
How Netflix makes money

Revenue stream	Economics	Investment view
Ad-free subscriptions	Recurring, high gross-margin revenue; mature-market growth increasingly price-led	Core cash generator
Ad-supported subscriptions + ads	Dual revenue stream; requires ad-tech, sales and measurement investment	Largest incremental growth vector
Paid sharing / extra members	High incremental margin but mostly a one-time structural lift	Useful, no longer the main thesis
Licensing, consumer products, experiences	IP monetization with smaller present contribution	Optionality, not in base valuation

The moat is a flywheel, not a library

Entertainment titles decay; one hit rarely confers permanent advantage. Netflix's defensibility comes from combining scale, global distribution, discovery technology, brand habit and a focused profit model. The moat is meaningful, but it must be renewed every release cycle.

Moat scorecard



What is hard to replicate

- A single global product and payment relationship across more than 190 countries.
- A content budget supported by a larger paid audience than any pure-play subscription streamer.
- Localized production and merchandising that can turn regional stories into global hits.
- A decade-plus of behavioral data feeding discovery, artwork selection and retention.
- Focus: unlike conglomerate peers, Netflix can optimize the company around streaming economics.

What is not protected

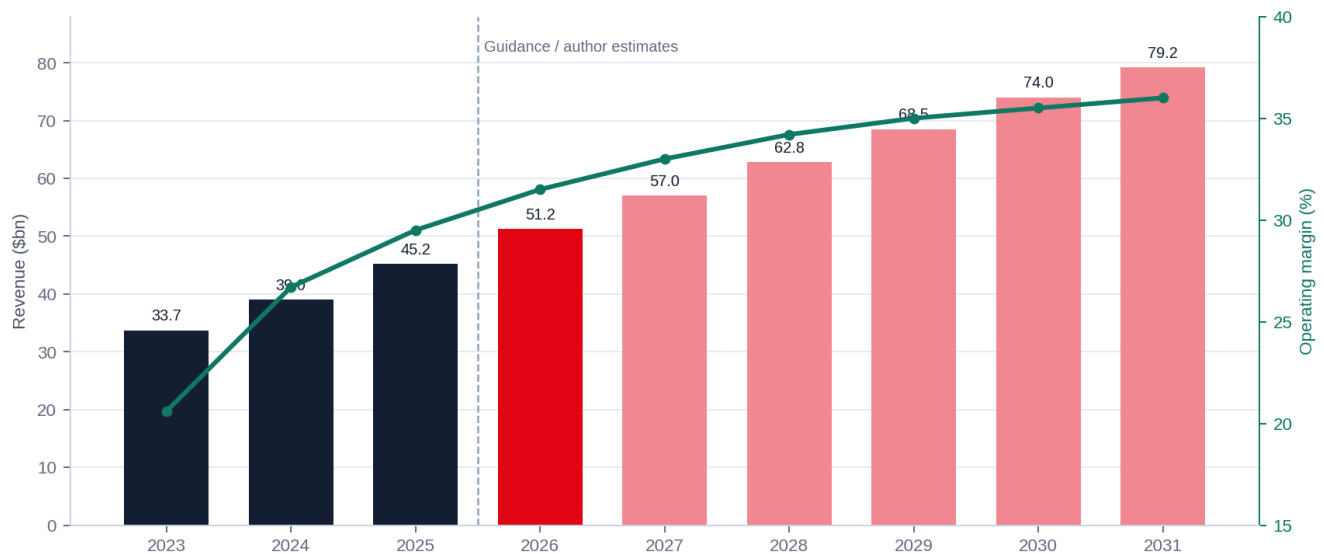
- Customers can cancel in minutes; switching costs are low.
- Creative talent, licensed libraries and sports rights are competitively bid.
- YouTube and short-form video have structurally lower content costs.
- Amazon, Apple and Disney can subsidize video with other businesses or bundles.

Moat verdict: strong, but earned continuously.

Scale improves economics, but weak engagement can still break the loop. The critical test is whether each incremental dollar of content and live-rights spend produces acquisition, retention or pricing power — not merely viewing hours.

The model has crossed into durable cash generation

Revenue growth continues as the margin curve matures



\$ billions except per-share data	2023A	2024A	2025A	H1 2026A	2026E
Revenue	33.72	39.00	45.18	24.81	51.20
Growth	—	15.6%	15.9%	14.7%	13.3%
Operating income	6.95	10.42	13.33	8.15	16.13
Operating margin	20.6%	26.7%	29.5%	32.8%	31.5%
Free cash flow	6.93	6.92	9.46	6.62	12.50
Diluted EPS	\$1.20	\$1.98	\$2.53	\$2.03	\$3.55*

Balance-sheet view

- \$9.1B cash and equivalents versus \$14.4B gross debt at June 30, 2026: about \$5.3B net debt.
- \$25.1B of total streaming content obligations, including amounts not yet on the balance sheet.
- \$33.8B of net content assets; amortization assumptions remain a major accounting judgment.
- H1 2026 repurchases of \$6.0B reduced outstanding shares by roughly 1.4% from year-end 2025.

Quality of earnings

- 2025 FCF rose to \$9.46B as operating cash flow scaled faster than capital expenditure.
- 2026 FCF guidance of ~\$12.5B implies a 24.4% margin and supports buybacks without balance-sheet stress.
- H1 2026 net income includes a \$2.8B WBD termination fee in other income. It is cash-real but nonrecurring; normalized earnings are lower than GAAP.
- Q2 FCF fell year over year due partly to taxes on that fee and content timing; annual cash flow is the cleaner metric.

A = actual; E = author estimate. 2026 revenue, margin and FCF use the midpoint/company guidance. *Illustrative GAAP EPS built from reported H1 and management's Q3 forecast; not used without normalization in valuation.

The core is excellent; the adjacencies must earn their keep

Product	Customer value	Economic role	Assessment
Core on-demand video	Broad, global, personalized catalogue across genres and languages	Acquisition, retention and pricing power	Excellent
Ad-supported tier	Lower entry price with a premium-video ad load	Expands TAM; adds ad ARPU; lowers churn sensitivity to price	High potential
Live programming	Shared cultural moments, sport and appointment viewing	Disproportionate sign-up days and ad inventory	Strategic, costly
Games	Bundled mobile and cloud-TV play without separate purchase	Engagement option; presently small and unproven	Experimental
Video podcasts / creators	Daytime, mobile and creator-led formats	Low-cost incremental hours; competes with open platforms	Promising
AI-enhanced discovery	Natural-language and voice search, better recommendations	Reduces choice friction; may improve retention and ad relevance	Core enabler

What product data says

Members watched more than 97B hours in H1 2026, up 2% year over year. Non-English titles generated more than one-third of viewing. Live represented just over 5% of expected 2026 content spend but only about 1% of view hours; management argues its acquisition impact is disproportionately high.^[2]

Pricing architecture

Reported U.S. prices after March 2026 were \$8.99/month with ads, \$19.99 Standard and \$26.99 Premium. This is rational segmentation: a low-price ad tier protects reach while high-end tiers harvest willingness to pay. Repeated increases, however, raise churn and piracy risk.^[5]

Our product underwriting rule

Assign value only where monetization is visible. Ads are in the base case because management guides to ~\$3B of 2026 revenue. Live programming is partly in the base case through subscription and ad growth. Games, experiences, commerce and AI-generated production savings receive no explicit standalone value.

Key performance indicators that matter most

- **Revenue growth by region:** tests membership, pricing and currency resilience.
- **Operating margin and cash content ratio:** reveal whether scale is outrunning content inflation.
- **Ad revenue and fill:** determine whether the ad tier becomes a second profit engine.
- **Engagement and retention:** validate content quality before revenue weakness appears.

The real contest is for attention, not subscriptions

Netflix names linear television, streaming services, piracy, gaming, open-content platforms and social media as competitors. A household can keep several subscriptions, so subscriber totals alone understate the contest: the scarce resource is leisure time.^[1]

Competitor set	Structural advantage	Pressure on Netflix	Netflix response
YouTube / TikTok	Near-zero marginal content cost, creators, mobile habit	Engagement, ad budgets, younger audiences	Creators, podcasts, mobile discovery, premium brand safety
Disney+ / Hulu / ESPN	Franchises, family IP, sports, bundles	Pricing and retention; live-rights competition	Global originals, breadth, simpler product, selective live
Amazon Prime Video	Commerce bundle, large balance sheet, sports	Subsidized pricing and rights inflation	Standalone focus and clearer engagement economics
Max / Paramount+ / Peacock	Deep libraries, studios, news and sports	Hit content and bundle competition	Licensing partnerships, global reach, product execution
Gaming	Interactive, social, high time intensity	Competes directly for leisure hours	Bundled games; still early

Relative strengths

- Largest global paid streaming audience among pure-play services.
- Industry-leading profitability: 29.5% operating margin in 2025.
- Fewer legacy networks and theaters to protect.
- Broad genre mix reduces dependence on one franchise.
- Global release and recommendation machinery can scale local hits.

Relative weaknesses

- No commerce or hardware bundle to subsidize churn.
- Less evergreen franchise depth than Disney.
- No user-generated supply engine comparable with YouTube.
- Selective sports strategy can still inflate rights costs.
- Single-segment economics concentrate execution risk.

Competitive verdict:

Netflix is the best-positioned scaled subscription video operator, but not the dominant entertainment platform. Its advantage is strongest in premium, globally distributed on-demand video. YouTube has the stronger low-cost attention engine; Amazon and Apple have stronger subsidy capacity; Disney has stronger franchise IP.

Mediobanca's 2026 industry summary estimated Netflix at 27.7% of global subscription-video subscribers and over 300M users, ahead of Prime Video and Disney's combined services. Cross-company subscriber definitions are not fully comparable.^[6]

Ads and pricing can sustain a 9% revenue CAGR

Our base case begins with management's 2026 midpoint and then fades growth as paid-sharing benefits mature and developed markets saturate. Advertising and international monetization offset the slowdown; operating leverage continues, but more slowly as Netflix invests in live, technology and a broader slate.

\$ billions	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	51.2	57.0	62.8	68.5	74.0	79.2
Growth	13.3%	11.3%	10.2%	9.1%	8.0%	7.0%
Operating margin	31.5%	33.0%	34.2%	35.0%	35.5%	36.0%
Operating income	16.1	18.8	21.5	24.0	26.3	28.5
Free cash flow	12.5	14.5	16.6	18.6	20.5	22.1
FCF margin	24.4%	25.4%	26.4%	27.2%	27.7%	27.9%

Base-case drivers

- Paid memberships grow mid-single digits.
- Price/mix contributes low- to mid-single digits.
- Ads grow faster than the company, but from a small base.
- Content amortization grows slower than revenue after 2026.
- Buybacks lower the share count, subject to valuation discipline.

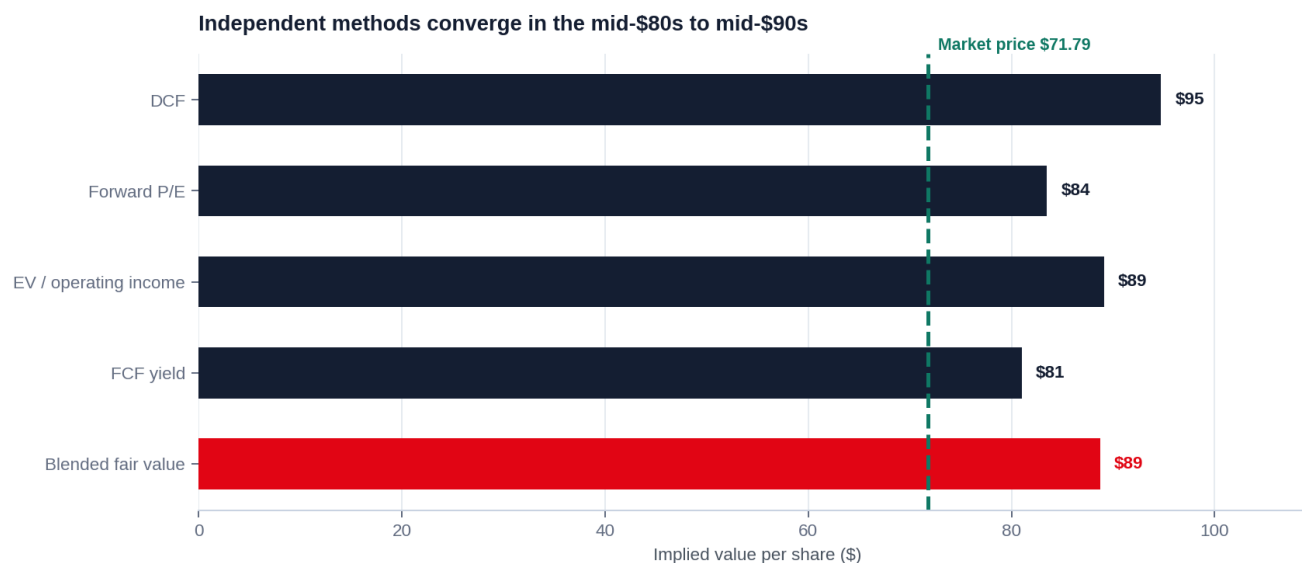
What is not assumed

- No transformational acquisition.
- No material standalone value for games or commerce.
- No sustained margin windfall from generative AI.
- No return to 15%+ revenue growth after 2026.
- No permanent benefit from the WBD termination fee.

Forecast asymmetry

Ads can surprise positively because a ~\$3B business is still only about 6% of 2026 revenue. The larger downside is content efficiency: a few years of spending ahead of engagement can compress both FCF and the valuation multiple.

Four methods converge near \$90 per share



Method	Core assumption	Value/share	Weight
Discounted cash flow	2027–31 FCF \$14.5B → \$22.1B; 8.5% WACC; 3.5% terminal growth	\$94.7	40%
Forward P/E	25× normalized 2027 EPS of \$3.34	\$83.5	25%
EV / operating income	20× 2027 operating income of \$18.8B; less \$5.3B net debt	\$89.1	20%
FCF yield	4.25% yield on 2027 FCF of \$14.5B; less net debt	\$81.0	15%
Weighted fair value	Method-weighted intrinsic value	\$88.7	100%

DCF sensitivity (\$/share)

WACC \ g	3.0%	3.5%	4.0%
8.0%	96	105	117
8.5%	87	95	104
9.0%	80	86	93
9.5%	74	79	85

Current valuation snapshot

- Market capitalization: ~\$299B using 4.164B June-quarter shares.
- 2026E price/FCF: ~24×; FCF yield: ~4.2%.
- 2025 reported P/E: ~28×.
- TTM GAAP P/E is lower, but distorted by the nonrecurring termination fee.
- Fair-value upside: ~24% to \$88.7; rounded target: \$90.

DCF values use current share count and \$5.3B net debt. Timing discounts 2027–31 cash flows from 30 September 2026. Multiples are judgmental and should be read with the scenario analysis, not as precision estimates.

The return profile is attractive, but the range is wide

Scenario	Operating path	Valuation logic	Value	Upside
Bear • 20%	6% revenue CAGR; margin stalls near 31%; weak engagement raises content intensity	9.5% WACC, 3.0% terminal growth	\$53	(26%)
Base • 60%	~9% revenue CAGR; margin reaches 36%; ads scale without diluting experience	8.5% WACC, 3.5% terminal growth	\$95	32%
Bull • 20%	~11% revenue CAGR; stronger ads/price; FCF reaches ~\$24B by 2031	8.0% WACC, 3.5% terminal growth	\$114	59%

Probability-weighted scenario value: ~\$90.

The weighted outcome supports the blended-method conclusion. The bear case still matters: Netflix is a premium-duration equity whose valuation can compress quickly if engagement weakens before costs adjust.

Catalysts

- Ad revenue reaches or exceeds ~\$3B with improving contribution margin.
- 2026 FCF lands near \$12.5B despite heavier content additions.
- Price increases translate to ARPU without visible churn.
- Live events produce repeatable acquisition and premium ad demand.
- Buybacks at depressed prices accelerate per-share value.

What could change the rating upward

Sustained double-digit revenue growth beyond 2027, ad margins approaching subscription economics, and evidence that live/creator content adds incremental rather than displaced viewing.

Risks

- **Engagement:** fewer global hits may weaken retention and price tolerance.
- **Content inflation:** sports and talent rights can consume operating leverage.
- **Competition:** subsidized bundles and free video pressure attention and pricing.
- **Advertising:** recession, measurement gaps or poor user experience may slow monetization.
- **Regulation:** local-content quotas, taxes, privacy and child-safety rules can raise costs.
- **Currency:** international revenue creates foreign-exchange volatility.
- **Accounting:** content amortization estimates can make reported margins lag economic changes.

What would trigger a downgrade

Two consecutive quarters of sub-8% constant-currency revenue growth combined with falling operating margin, or a sustained increase in cash content spend without a matching engagement or revenue response.

BUY — but underwrite engagement, not just EPS

12-month target: \$90

Netflix is a high-quality compounder at a newly reasonable price. Its global scale, pricing architecture, advertising ramp and cash generation justify a premium. The current quotation offers enough upside to accept execution risk, but not enough to ignore it.

INVESTMENT CASE

Own the franchise

- Revenue growth remains low-teens in 2026.
- Operating margin has expanded almost 11 points since 2023.
- Ads provide a visible second growth engine.
- Free cash flow supports reinvestment and buybacks.
- \$71.79 is below all four central valuation outputs.

RISK CONTROL

Do not treat it as defensive

- Position size for 25%+ downside in the bear case.
- Avoid averaging up solely on buyback-driven EPS.
- Demand evidence that live rights earn acquisition or ad returns.
- Normalize out the WBD fee when comparing earnings.
- Reassess if revenue growth and margins weaken together.

Portfolio conclusion

Initiate or add below \$75; full value is near \$90; risk/reward becomes especially compelling below \$65 if the operating thesis is unchanged. Above \$105, expected return depends increasingly on the bull case.

Built from filings, management guidance and market data

Primary sources

1. Netflix 2025 Form 10-K, filed 23 January 2026. Business model, competition, 2023–25 financial statements, cash flow, balance sheet and risks.
2. Netflix Q2 2026 shareholder letter, 16 July 2026. Q2 results, 2026 guidance, engagement, product roadmap, advertising, capital allocation and regional performance.
3. Netflix Q2 2026 Form 10-Q reproduction, quarter ended 30 June 2026. Interim income statement, cash flows, balance sheet and share count.

Market and industry sources

4. FintHub market data. Split-adjusted daily price series through 18 September 2026; latest close \$71.79.
5. Tom's Guide: Netflix 2026 U.S. plan pricing, 26 March 2026. Used only for reported consumer plan prices.
6. Advanced Television summary of Mediobanca Media & Entertainment Report, 16 September 2026. Industry subscriber and profitability context; definitions may differ across companies.

Valuation method

The discounted cash flow model uses explicit 2027–31 free cash flow forecasts, a 3.5% base terminal growth rate, an 8.5% weighted average cost of capital, \$5.3B net debt and 4.164B current shares. The model discounts cash flows from 30 September 2026. Relative methods apply a 25× forward price/earnings multiple, a 20× enterprise-value/operating-income multiple and a 4.25% FCF yield. The final \$88.7 value weights DCF 40%, P/E 25%, EV/operating income 20% and FCF yield 15%, then rounds the 12-month target to \$90.

Important limitations

Netflix reports as one operating segment, so ad and subscription profitability are not separately disclosed. 2026 forecasts after the company's revenue, margin and FCF guidance are the author's estimates. H1 2026 net income includes a \$2.8B nonrecurring WBD termination fee. Valuation is sensitive to long-run growth, content efficiency, discount rates, share count and foreign exchange.

Research disclosure: This document is an analytical opinion based on publicly available information through 18 September 2026. It is not individualized investment advice, a solicitation, or a guarantee of returns. Investors should consider objectives, taxes, liquidity needs and loss tolerance and independently verify current data before trading.

All dollar amounts are U.S. dollars. Per-share figures reflect Netflix's 10-for-1 forward stock split effective 14 November 2025. Rounding may cause minor differences.